The arbitrage traders can take positions in a manner that would give them a profit assuming that the Put-Call Parity is to restore itself. Such opportunities are difficult to spot and trade for retail traders.

For instance, let's say in the above equation the put option premium is found to be ₹400.

Put Option premium = ₹~~220~~ ₹400

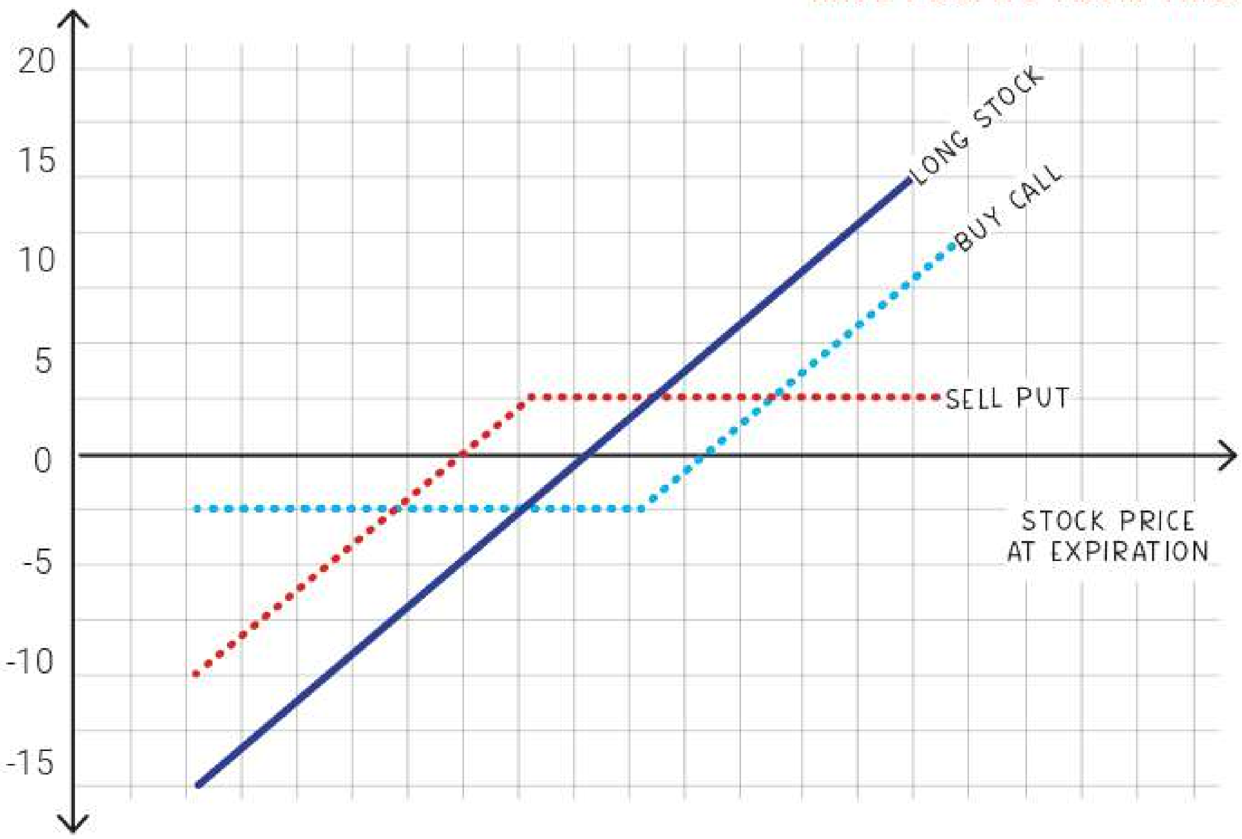
By the relationship of put-call parity, we can see that the put option is trading expensive. This is a case of market inefficiency and causes arbitrage opportunities for arbitrageurs or professional traders.

Call Option + Riskless Bond = Put Option + Underlying Stock

₹50 + ₹2170 = ₹400 + ₹2000

₹2220 = ₹2400

A TRADER MAY THEN FORM STRATEGIES TO HAVE PROFITS FROM THIS.



Note: The difference of some decimal points is not what we are talking about. We are talking about a substantial difference in the equation.